3

Floating a Company

If the hostile reaction of BI and the local administration was any indication, the Swadeshi shipping enterprise was indeed a success. The Tuticorin traders had succeeded in standing up to BI's high-handedness. While the outcome of the arrangement with Shah Line Company pointed to the benefits of a shipping line of their own—dignity, reliability and profits—it also underlined the precariousness of relying on chartered steamers. As a result of the initial success of the venture and the consequent upbeat mood of the traders, not to speak of the friction with the Shah Line Company, 'The idea of a forming a limited company soon occurred to the syndicate.'[1]

Was SSNCo *Sui Generis*?

Before we reconstruct the heroic story of the establishment of the Swadeshi company, it is pertinent to address the question: was it the first Swadeshi shipping venture in colonial India?

V.O. Chidambaram Pillai's Swadeshi Steam Navigation Company was not the only, or even the first, indigenous shipping venture. Many such ventures had commenced and perished since the mid-nineteenth century.

The Bombay Steam Navigation Company, seeded by Parsi capital, may have been established as early as in the 1850s.[2] In the early 1890s, the Tatas had organized a shipping line only for it to be killed by P&O in a year.[3]

Sumit Sarkar lists several indigenous shipping ventures in Bengal. Jyotirindranath Tagore, the poet's brother, launched the Inland River Steam Navigation Service in 1884 with five ships purchased at great cost. In a foretaste of what SSNCo experienced, it faced cut-throat competition from the British-owned Flotilla Company which gave free rides and free meals to entice passengers. When Jyotirindranath's company collapsed, the ships were sold to an agent of the rival company.[4]